

UNITED STATES COPYRIGHT OFFICE

**Section 1201 Study: Notice and
Request for Public Comment**

Docket No.: COLC-2015-0012

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**Reply Comments of:
* Alliance of Automobile Manufacturers**

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The Alliance of Automobile Manufacturers (Auto Alliance) welcomes this opportunity to provide reply comments regarding the Copyright Office Section 1201 study. While the initial round comments raise many issues, this reply focuses on two: (i) the relationship between violations of 17 U.S.C. § 1201 and copyright infringement (NOI Question 2); and (ii) whether administratively recognized exemptions to the prohibition on circumventing access controls should be extended to immunize trafficking in circumvention products and services (NOI Questions 6 and 7).

NOI Question 2 – Interests “Outside of Core Copyright Concerns”

In their eagerness to advance the argument that the Copyright Office should give no consideration in the DMCA rulemaking process to “interests outside of core copyright concerns,” some initial round commenters rely upon the unfounded assertion that “section 1201 applies where, and only to the extent that, the technological measure actually protects a right of a copyright holder in a copyrighted work,”¹ or posit that the statute “should not be used to ... deny an otherwise legitimate exemption where the use is not made for the purpose of violating copyright law.”² Neither position finds any support in either the plain language of the statute or its legislative history.

¹ Initial Comments of the Auto Care Association at 3 (March 3, 2016) (“Auto Care Comment”).

² Initial Comments of the Institute of Scrap Recycling Industries, Inc. at 4 (March 3, 2016) (“ISRI Comment”).

Section 1201(a) specifically addresses any “technological measure that effectively controls access to a work,” while an entirely separate provision, section 1201(b), focuses on such measures “that effectively protect a right of the copyright owner under this title in a work or portion thereof.” It is only the latter provision that is limited to measures that “actually protect a right of a copyright holder in a copyrighted work”; the former provision clearly targets a different category of protections, those that control access to the work, whether for infringing or non-infringing purposes. Of course, the entire DMCA rulemaking proceeding concerns only the section 1201(a)(1) prohibition; it does not deal in any way with any “technology [that] works to control copying, distribution, public performance or the exercise of other exclusive rights in a work,” unless it also controls access to that work.³

The legislative history of section 1201(a) specifies that the measures covered by that subsection “can be deployed, not only to prevent piracy and other economically harmful unauthorized uses of copyrighted materials, but also to support new ways of disseminating copyrighted materials to users, and to safeguard the availability of legitimate uses of those materials by individuals.”⁴ There is thus no basis for concocting an additional requirement, not to be found in the plain language of the statute – to prove that an act of circumvention of an access control was done “for the purpose of violating copyright law” – before the section 1201(a)(1) prohibition would apply. In particular, hacking through protections applied to control access to copyrighted software clearly violates the statute *prima facie*, regardless of the presence or absence of a motivation to infringe copyright in the software or any other work. As reflected in the legislative history just quoted, Congress recognized the valuable role of access controls in safeguarding the integrity of protected software, so that it remains available only for “legitimate uses ... by individuals,” and thus prohibited circumvention of such controls, unless covered by a statutory or administrative exemption to section 1201(a)(1).

The Electronic Frontier Foundation, in contrast to the commenters previously cited, is candid enough to concede that importing a “purpose to infringe copyright” requirement into any of the section 1201(a) prohibitions exceeds the power of the Copyright Office and would require Congressional amendment of the statute itself.⁵ Auto Alliance strongly cautions against enactment of such an amendment. Requiring proof of an intent to infringe copyright is not even required in a conventional copyright infringement case.⁶ Injecting such a requirement into section 1201 would throw a serious stumbling block in the path of any copyright owner or other injured party seeking to enforce the law. It thus would largely vitiate the practical value of the statute, and would risk undermining the global regime of protection of TPMs that has been built upon it. Congress should continue to reject any such proposal, as it has done in the past.

In our initial comments, Auto Alliance offered a detailed proposal for steps that the Copyright Office could take to ameliorate the problems it faces in evaluating exemption

³ Staff of House Committee on the Judiciary, 105th Cong., Section-By-Section Analysis of H.R. 2281 as Passed by the United States House of Representatives on August 4, 1998, at 13 (Comm. Print 1998), *reprinted in* 46 J. Copyright Soc’y U.S.A. 635 (1999) (“Manager’s Rep.”).

⁴ Manager’s Rep. at 6, *emphasis added*.

⁵ Initial Comments of the Electronic Frontier Foundation at 2-3 (March 3, 2016) (“EFF Comment”).

⁶ 17 U.S.C. § 501; *see also* 4-13 Nimmer on Copyright § 13.08 (2015) (“[T]he innocent intent of the defendant constitutes no defense to liability.”).

proposals that it perceives as raising issues “outside of core copyright concerns.”⁷ We note that the Center for Democracy and Technology, in its comments, stresses the need for “clear and transparent communication [to] provide notice to other [regulatory] agencies, alerting them to the potential need to address issues that lie within their realm of expertise.”⁸ Auto Alliance’s proposals to ask exemption proponents to identify potential collateral regulatory impacts early in the process, and optimally to give proponents strong incentives to clear such impacts with regulators before approaching the Copyright Office for a section 1201 exemption, seek to advance exactly the same goal.⁹

NOI Questions 6 and 7 – Relationship to Anti-Trafficking Provisions

Several of the initial round submissions argue that every administrative exemption to the prohibition (in section 1201(a)(1)(A)) on the act of circumvention should be automatically expanded to cover trafficking in circumvention products and services as well, notwithstanding section 1201(a)(2).¹⁰ Some of these submissions document how drastically this change would impact the overall regime of legal protection for access controls, at least in the automotive sector.

This is certainly not simply a question of allowing a friend to help a less technologically adept friend to carry out the act of circumvention. Nor would this change confer immunity solely upon a small, carefully cabined and easily regulated niche market. Instead, it is a proposal to adopt a blanket rule to sanction circumvention and possible infringing activity on a massive scale, tantamount to the Copyright Office clearing a path for an entire multi-million dollar industry built in substantial part on the act of circumvention. As one commenter points out, “the independent aftermarket industry employs more than 4,300,000 people in the United States. Nearly \$341 billion dollars was spent on motor vehicle care in the United States in 2015, or more than 1.9 percent of the U.S. gross domestic product.”¹¹ Empowering this huge industry to hack into vehicle software virtually at will would have serious detrimental consequences for the entire TPM protection regime.

To recycle a well-worn metaphor, proponents of this blanket rule wish to grasp the spindly tail of an exemption to allow individual vehicle owners to carry out circumvention in relatively well-defined, narrowly drawn circumstances, and use it to wag a huge mastiff of unrestricted commercial markets for circumvention products and services. If a legal imprimatur is to be bestowed on the development and widespread commercial marketing of such tools, it is inescapable that the tools will be used in such a broad range of settings as to render the Copyright Office’s careful line-drawing completely irrelevant.

⁷ Initial Comments of the Alliance of Automobile Manufacturers at 2-3 (March 3, 2016) (“Auto Alliance Comment”).

⁸ Initial Comments of the Center for Democracy & Technology at 4 (March 3, 2016) (“CDT Comment”).

⁹ Auto Alliance Comment at 4-6.

¹⁰ See, e.g., ISRI Comment at 15 -17; Auto Care Comment at 3; and Initial Comments of the USC Intellectual Property and Technology Law Clinic at 10-13 (March 3, 2016) (“IPT USC Comment”). See also CDT Comment at 10 (positing that wherever the record supports granting an exemption regarding the act of circumvention, it automatically “equally supports” an exemption to allow “enlisting the assistance of others to do so,” i.e. a section 1201(a)(2) exemption). Obviously Congress did not accept this proposition in 1998, since it enacted several statutory exceptions that apply only to section 1201(a)(1)(A) (see, e.g., 17 U.S.C. § 1201 (d), § 1201(i)).

¹¹ Auto Care Comment at 1.

Of course, it is clear that any such obliteration of the distinctions between exemptions for the act of circumvention and for trafficking in circumvention tools and services can only result from an Act of Congress, not from the Librarian's (or the Office's) narrowly defined role under the current statute. While a few initial round submitters tried to make the argument that "the intended role of the Office in the rulemaking process and its demonstrated interest in tailoring exemptions to the specific harm they are intended to address" somehow already provide the Office with this authority,¹² none of them can point to any provision of the statute that supports this. Nor can any explain how such an implied authority could be harmonized with the specific statutory mandate that no exemption to section 1201(a)(1)(A) arising from the rulemaking proceeding can provide any defense to liability under any other provision of Title 17, including section 1201(a)(2).¹³ This argument is best viewed as wishful thinking from advocates who would prefer these broader exemptions be granted through the Copyright Office rulemaking rather than through a drawn out legislative process.¹⁴

More measured submitters concede that the Register of Copyrights agrees that if Congress intends to grant the Copyright Office such broad authority, it would need to "consider another amendment to section 1201...expressly allowing the Librarian to adopt exemptions that permit third-party assistance when justified by the record."¹⁵ However, their arguments for enacting such an amendment fail to persuade.

Proponents of this position point to the Unlocking Consumer Choice and Wireless Competition Act ("Unlocking Act") as an instance in which Congress authorized a limited degree of third-party assistance in circumvention.¹⁶ But this legislation is an inapposite precedent for the blanket rule they seek. The Unlocking Act was a narrow, targeted approach to facilitate an activity that did not compromise the security of the device or the information contained therein; *a fortiori*, an exemption for cell phone unlocking posed no risk to public safety or to the achievement of paramount environmental or energy security goals.¹⁷ The same cannot be said for allowing third parties to provide the tools and services for circumventing access controls on vehicle software, for instance. There, the potential and serious risks were well documented in the rulemaking proceeding. As the House Judiciary Committee noted in its report on the Unlocking Act, "legalization of circumvention that has such harmful effects is not the intent of this legislation and it would not be authorized by its provisions."¹⁸

¹² IPT USC Comment at 11. See also EFF Comment at 10-11.

¹³ 17 U.S.C. § 1201(a)(1)(E). Astonishingly, one submitter argues that this provision, clearly intended to erect a firewall between administrative exemptions to section 1201(a)(1) and asserted defenses to section 1201(a)(2) claims, covertly authorizes the Librarian to grant exemptions to both provisions, since otherwise it would be "superfluous." EFF Comment at 11. It may be that a belt is superfluous when one is wearing suspenders, but this is far from the first instance in which Congress chose to employ both.

¹⁴ IPT USC Comment at 12.

¹⁵ CDT Comment at 9 (*quoting* Section 1201 Rulemaking: Sixth Triennial Proceeding to Determine Exemptions to the Prohibition on Circumvention, Recommendation of the Register of Copyrights, 5 (Oct. 2015)).

¹⁶ Pub. L. No. 113-144, 128 Stat. 1751 (2014).

¹⁷ Report of House Committee on the Judiciary, 113th Cong., Report together with Minority and Additional Views [To accompany H.R. 1123], H.R. Rep. 113-356, 9 (2014).

¹⁸ *Id.*

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In passing the Unlocking Act, Congress sought to codify consumer protections that had already been voluntarily adopted by major cellphone industry players.¹⁹ Even then, the permitted activity was limited: (i) unlocked phones would not necessarily be fully interoperable²⁰ but instead would only be able to connect a new wireless network;²¹ and (ii) consumers were still bound by the terms of any applicable service agreements they had with the carrier from which the phone was initially purchased.²² A blanket rule allowing the Librarian to extend a recognized section 1201(a)(1) exemption over to section 1201(a)(2) would apply even where none of these important features was present.

Empowering the Office and Librarian to obliterate the distinction between the prohibitions against circumvention and the ban on trafficking in circumvention tools would fundamentally alter the structure of section 1201. Congress should reject, not embrace, the invitation to do so. Such a rejection would be fully consistent with Congress' approach in the Unlocking Act.

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Thank you for considering the views of the Auto Alliance.

¹⁹ Report of Senate Committee on the Judiciary, 113th Cong., Report [To accompany S. 517], S. Rep. 113-212, 2 (2014) ("Senate Judiciary Committee Report") ("Some carriers, including the four largest national carriers, have established principles under which they will help consumers unlock their phones...").

²⁰ CTIA Letter to the FTC re: Carrier Unlocking Voluntary Commitment (December 12, 2013) ("[A]n unlocked phone is not a fully interoperable phone...[A] device that works on one carrier's network may not be technologically compatible with another carrier's network. Additionally, unlocking a device may enable some functionality of the device but not all (e.g., an unlocked device may support voice services but not data services when activated on a different network).").

²¹ Senate Judiciary Committee Report at 4.

²² *Id.* ("Neither of the methods for unlocking recognized by the legislation excuses owners from compliance with applicable service agreements they may have with the wireless carriers that service their phones.").